

Chapter 3 Job Order Costing

Activity #1: (LO #2, #3, #4, #5)

Selected data for Cassandra Company for the month of August is as follows:

Estimated manufacturing overhead	\$240,000	Factory utilities	\$29,100
Estimated labor hours	35,000	Indirect labor	\$23,500
Actual direct labor hours	36,000	Sales commissions	\$53,700
Estimated direct labor cost	\$300,000	Factory rent	\$49,200
Actual direct labor cost	\$320,000	Factory property taxes	\$28,100
		Indirect materials-factory	\$33,000
		Factory depreciation	\$67,200

- If the company allocates overhead based on direct labor cost, what is the predetermined manufacturing overhead rate?
- If the company allocates manufacturing overhead based on direct labor cost, what are the allocated manufacturing overhead costs (amount applied)?
- If actual direct materials used totaled \$300,000, what is the total product costs that **increased** Work-In-Process during August for Cassandra Company?
- What are the total actual manufacturing overhead costs incurred in August?
- Determine the amount of over- or under- applied overhead.

Note:

- Why do we allocate or assign overheads? Because we cannot trace the actual costs back to the cost object.
- How can we allocate overheads – using a rate, called the estimated overhead rate.
- What is the rate based on? Estimates of overhead cost and estimate of a cost driver (pre-selected based on prior experience)
- How do we establish the rate? Estimated MOH/Estimated cost driver
- What do we do with the rate? Apply it based on ACTUAL cost driver – note here that we no longer use estimated amounts.
- What have we achieved after this step? From a practical perspective, we have been able to determine what the product cost is – actuals for direct materials and direct labor cost, and applied OH cost for Manufacturing OH – this is as close to actuals as we can possibly get with the information we have at this time.

Chapter 3 Job Order Costing

7. What type of companies might use this method? Imagine the services provided at an auto repair shop. One car may need an oil change, another may need a transmission overhaul, yet another may need a brake pad replacement. Because each job is different, costs must be assigned individually to each job.
8. To recap, we accumulate costs (recording them in the books), we measure costs (either actual costing or normal costing) and finally we assign or allocate costs to determine cost of the job.

Activity #2 - Job Costing - Fill in the Blanks (LO#2, #3, #4,)

Anna Inc. uses a job order costing system with manufacturing overhead applied to products at a rate of 100% of direct labor cost. Treating each case independently, find the missing amounts for a through l:

	Case #1	Case #2	Case #3
Direct materials used	\$20,000	e.	\$10,000
Direct labor	\$20,000	f.	i.
Manufacturing overhead applied	a.	\$30,000	j.
Total manufacturing costs	b.	\$80,000	\$30,000
Beginning Work in Process	\$10,000	g.	\$4,000
Ending Work in process	\$12,000	\$5,000	k.
Cost of goods manufactured	c.	\$79,000	\$28,000
Beginning Finished Goods	\$12,000	\$15,000	l.
Ending Finished Goods	\$9,000	h.	\$15,000
Cost of goods sold (unadjusted)	d.	\$81,000	\$26,000

Chapter 3 Job Order Costing

Activity #3 - COGM/COGS and Overhead Variance (LO#2, #3, #4, #5)

The following account balances at the beginning of August were selected from the general ledger of Noah Manufacturing Company:

Work in process inventory	\$0
Raw materials inventory	\$26,000
Finished goods inventory	\$46,000

Additional data:

- 1) Total direct labor cost for August was \$57,000.
- 2) The predetermined manufacturing overhead rate is based on direct labor cost. The budget for the year called for \$300,000 of direct labor cost and \$360,000 of manufacturing overhead costs.
- 3) The only job unfinished on August 31 was Job No. 1002, for which total direct labor charges were \$6,300 (800 direct labor hours) and total direct material charges were \$12,000.
- 4) Cost of direct materials placed in production during August totaled \$101,000. There were no indirect material requisitions during August.
- 5) August 31 balance in raw materials inventory was \$32,000.
- 6) Finished goods inventory balance on August 31 was \$34,500.
- 7) Actual manufacturing overhead for August amounted to \$62,000 (*Don't know this until after end of period*)

a. What is the predetermined manufacturing overhead rate?

b. What is the amount of **materials purchased** during August?

Raw Materials	
BB	RM Used
Purch	
EB	

c. What is the cost of goods manufactured for August?

WIP	
BB	COGM
RM used	
DL	
MOH	
EB	

d. What is the cost of goods sold for August before adjustment of over/under applied overhead?

FG	
BB	COGS
COGM	

Chapter 3 Job Order Costing

EB	
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- e. Has manufacturing overhead been overallocated or underallocated and by what amount as of August 31?
- f. Calculate the adjusted cost of goods sold (assuming OH variance is closed to COGS).